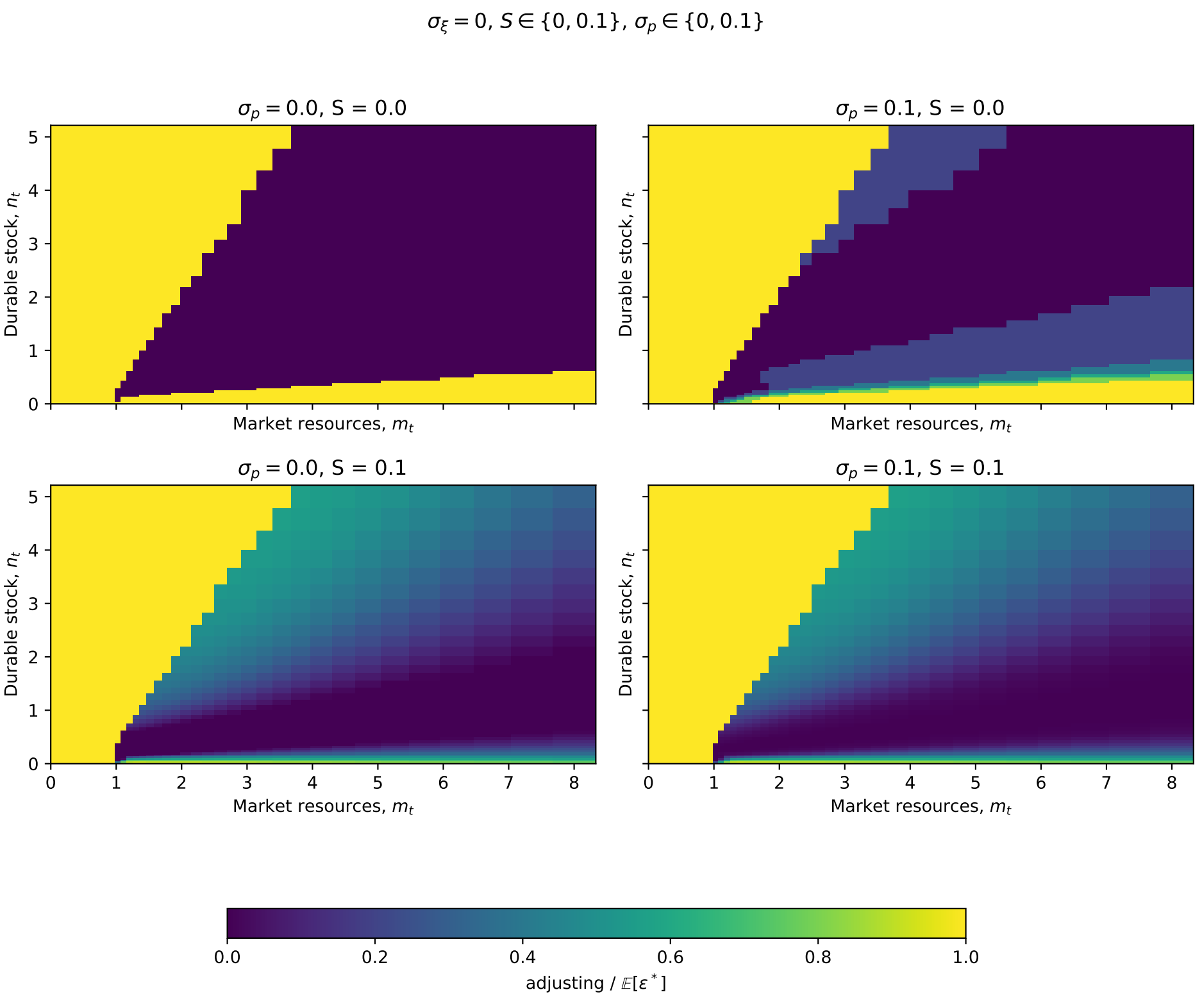

$\sigma_\xi = 0$, $S \in \{0, 0.1\}$, $\sigma_p \in \{0, 0.1\}$
$\sigma_p = 0.0$, S = 0.0
$\sigma_p = 0.1$, S = 0.0
$\sigma_p = 0.0$, S = 0.1
$\sigma_p = 0.1$, S = 0.1
Durable stock, n_t
Market resources, m_t
0
1
2
3
4
5
6
7
8
0.0
0.2
0.4
0.6
0.8
1.0
adjusting / $\mathbb{E}[\varepsilon^*]$